SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 3

Consumer Behavior & Customer Value

How do consumers decide? This week opens the buyer's black box: cultural, social, personal and psychological factors; four buying behaviors; the five-stage decision process; theories of choice and use; and new-product adoption. Case: Unilever Indonesia 2026 — winning 137m aspiring-middle-class consumers against Wings.

Material

1 The buyer's black box

Stimuli (4P + environment) → **buyer's black box** (characteristics + decision process) → responses. It takes research to see inside; intrinsic factors usually weigh more, and product type shapes choice.

2 Four groups of influencing factors

Factor	Contents
Cultural	Culture, subculture, social class
Social	Reference groups, family, roles & status
Personal	Age, occupation, economics, lifestyle, personality & self-concept
Psychological	Motivation, perception, learning, beliefs & attitudes

Self-concept: actual, ideal, social and ideal social self — brands help close the gap. Perception is selective and sensory; attitudes are hard to change, so fit products to them.

3 Four buying behaviors and five decision stages

	Big brand differences	Small differences
High involvement	Complex	Dissonance-reducing (e.g. rice cooker)
Low involvement	Variety-seeking	Habitual (e.g. detergent)

Product types: low-involvement, functional, ego-expressive. Decision process: need recognition → information search → evaluation → purchase → post-purchase (manage dissonance). Engel–Kollat–Blackwell model details it.

4 The buyer decision process as a funnel Deep dive



Habitual detergent purchases skip stages; levers are shelf availability, sachet price and the shopkeeper.

↕ Top: high involvement · bottom: low

Complex | **Dissonance-reducing**

Variety-seeking | **Habitual**

↔ Left: big brand differences · right: small

5 Perceived value, satisfaction, theories of choice & use

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Perceived value = Total customer value - Total customer cost
(money, time, energy, psychic)
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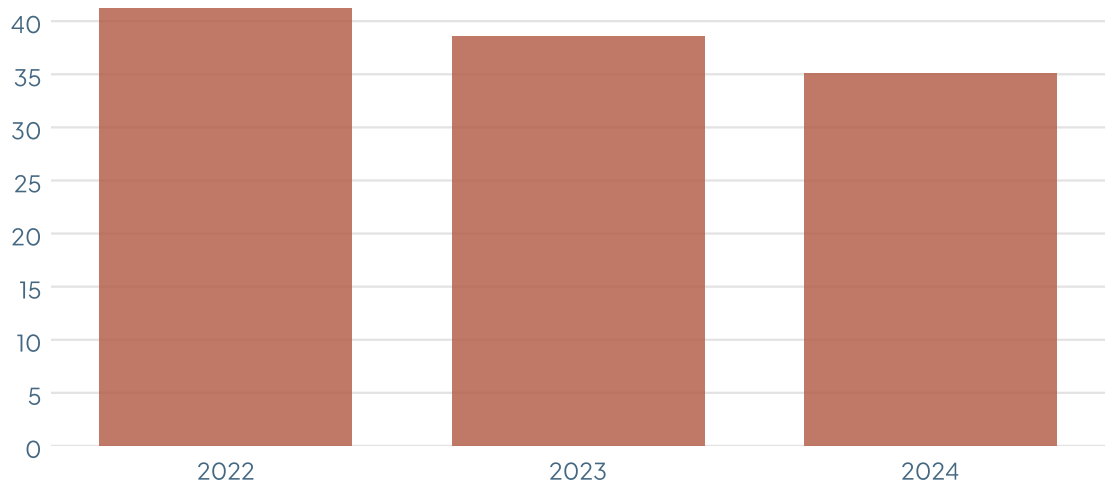
Theory of choice: decision-making unit, motivation, trigger, search depth/breadth, alternatives, place. **Theory of use:** consumption experience, relationship, disruption, positive surprises, meaning, brand. Brand relationship quality (love, trust, commitment, intimacy, attachment) drives advocacy and price premiums and can segment markets.

6 Adopting new products

Adoption: awareness → interest → evaluation → trial → adoption. Adopter categories: innovators 2.5%, early adopters 13.5%, early majority 34%, late majority 34%, laggards 16%. Faster adoption with relative advantage, compatibility, low complexity, divisibility (sachets!) and communicability.

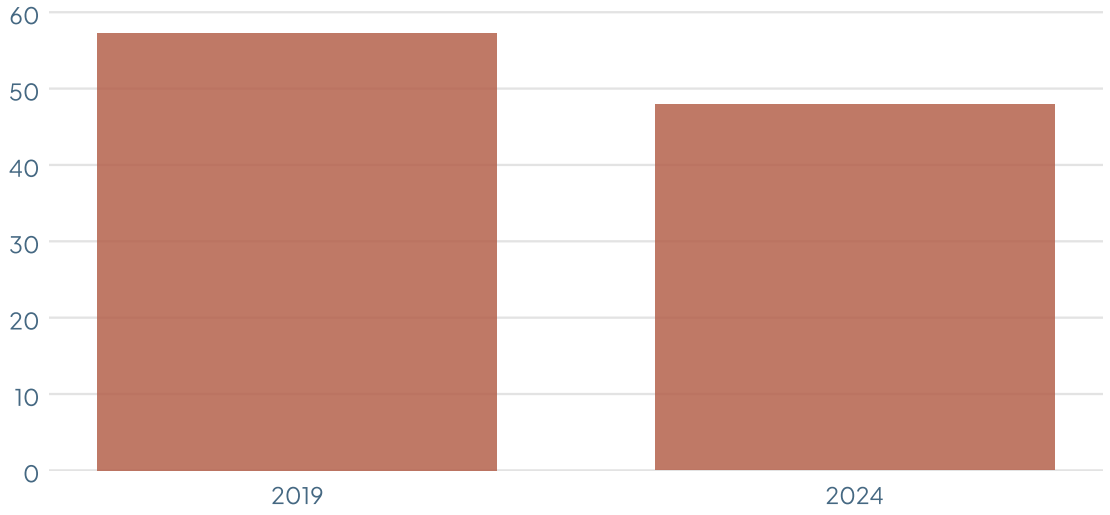
7 The UNVR case in numbers Deep dive

Unilever Indonesia revenue (IDR tn)



2022 and 2024 from the case; 2023 approx. from the annual report.

Indonesia's middle class shrinking (million people)

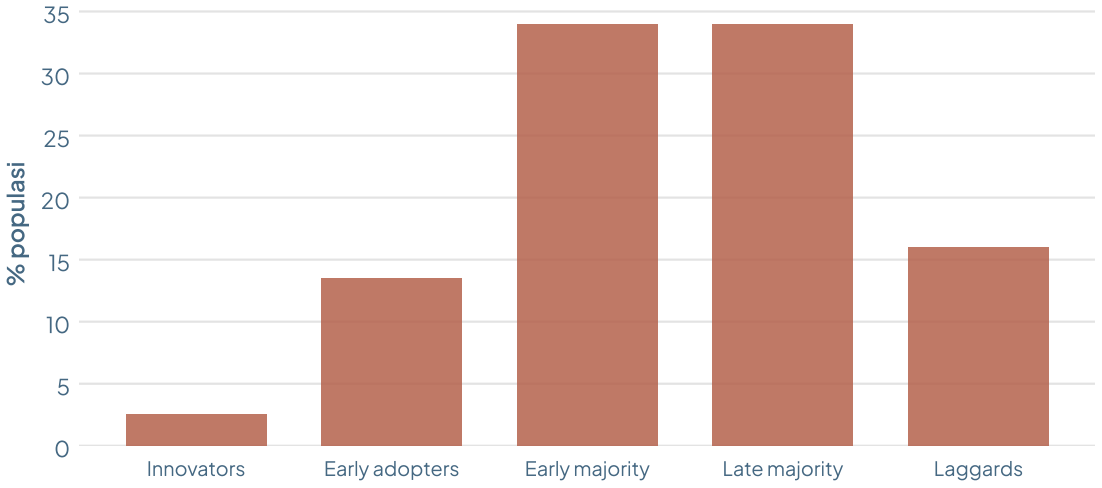


-8.7%
2024 revenue

20–25%
Daia cheaper than Rinso

49.2%
Aspiring middle class

Diffusion of innovation (Rogers)



8 Evaluating alternatives with numbers: the multi-attribute model

The slide "Example of Evaluation of Alternatives" shows that consumers narrow their choices. One way to understand this is the **compensatory (expectancy-**

value) model: the consumer weights attributes, rates each brand, then picks the highest score.

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Brand score = Σ (attribute weight × brand's rating on that attribute)
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Illustrative example — a homemaker in a Tier 2 city choosing a detergent (weights follow the attribute order in Case 2; the 1–10 ratings are illustrative):

Attribute	Weight	Rinso	Surf	Daia
Cleaning power	0.30	9	7	7
Scent	0.25	7	9	7
Price per wash	0.25	4	6	9
Small packs easy to find	0.10	6	6	9
Brand trust	0.10	9	7	6
Total score	1.00	**6.95**	**7.15**	**7.60**

Daia wins not because it cleans best, but because it leads on price per wash and availability. A marketer has five ways to change the result: (1) improve the product (raise the real score), (2) change *perceptions* of its own brand, (3) change perceptions of competitors, (4) change the attribute **weights** (for example teaching that "one sachet is enough for two washes" so price per wash falls), or (5) add a new attribute where it leads (for example "gentle on children's skin").

> ! **Not every decision is compensatory**
> For low-involvement products, consumers often use shortcuts (heuristics): "buy the usual one", "buy the cheapest as long as it foams", or "buy whatever the warung has". In this pattern, availability and habit matter more than attribute scores.

Managing post-purchase dissonance. After buying an expensive item where brands look alike (the dissonance-reducing type, e.g. a rice cooker),

consumers often feel doubt. Marketers help with warranties, "congratulations on choosing…" messages, after-sales service and other buyers' reviews.

9 Elements of Value (Bain/HBR): the value pyramid for consumers

Case 2 uses the **Elements of Value** framework by Almquist, Senior & Bloch (HBR, 2016): 30 value elements arranged like Maslow's pyramid, from functional at the bottom to social impact at the top. The more elements a brand delivers, the higher its loyalty and growth.



Element	Meaning for the mass-market detergent consumer	Who leads?
Quality	Non-negotiable — a quality shortfall cannot be made up by other elements	Rinso/Surf (brand heritage); a risk if a cheap sub-brand cuts the formula
Reduces cost	Measured per wash, not per kg	Parity possible with the right pack architecture
Sensory appeal (scent)	Almost functional; a social signal	A potential edge from Unilever's fragrance technology

Reduces anxiety	Certainty that stains come out in a community where people notice	Unilever (brand trust)
Badge value & provides hope	"I am someone who uses Rinso" = a sign of moving up	Unilever — as long as it is not positioned as a "cheap detergent"
Affiliation/belonging	The brand everyone uses at the community washing place	Wings is stronger in traditional trade
Self-transcendence	Environmental care; still weak in Tier 3 in 2026	A long-term opportunity

The key lesson from the case

The functional foundation (quality, cost per wash, scent) must be met first. Above it, Unilever can differentiate through *reduces anxiety* and *provides hope*. If a new sub-brand carries no badge value at all, it becomes just "a more expensive Daia" with higher overhead. Note: the original framework was tested on US consumers; applying it in Indonesia is a hypothesis that needs research to confirm (see Week 5).

Key takeaways

1. Black box: stimuli → characteristics & process → responses.
2. Four factors: cultural, social, personal, psychological; self-concept.
3. Four behaviors: complex, dissonance-reducing, variety-seeking, habitual.
4. Five stages: need → search → evaluation → purchase → post-purchase.
5. Perceived value = total value – total cost.
6. Adoption speeds up with advantage, compatibility, simplicity, divisibility, communicability.
7. Mass consumers budget per wash; sachets give access despite higher cost per wash.

Case studies

Case & worked answers

Case 2: Unilever Indonesia (2026) — winning the archipelago's mass market

Situation: UNVR revenue fell from IDR 41.2tn (2022) to 35.1tn (2024, –8.7%); home-care share slipped to ~34–35% amid Wings' cheaper Daia/SoKlin and post-2023 boycotts. Andi must pick an option.

Consumers: the middle class shrank to 47.9m while the aspiring class grew to ~137.5m — many remember premium brands. Fragrance is social currency; laundry is semi-public; they budget per wash; detergent is habitual buying at warungs; semi-automatic machines, QRIS and TikTok Shop are spreading.

Unit economics: manufacturer gross margin Rinso 800g 8,500 (49%) vs Daia 5,500 (50%); sachets cost more per wash (~1,000 vs ~800) — a poverty premium accepted for cash-flow reasons.

Options: A protects margin but cedes volume; B risks Surf dilution and distributor conflict; C is purpose-built (cf. Wheel, Ala) but costly. All must deliver quality, cost per wash and fragrance; differentiation vs Daia comes from reducing anxiety and badge value/hope.

Sample recommendation: C at the core for Tier 2/3 (local identity, index ~60, refill pouches anticipating sachet bans and EPR) while keeping A for urban/machine users; compute break-even cannibalization, use specialist distributors and warung-digitization data, and a "made in Indonesia" narrative.

Practice questions

Try answering first. The answer key is below each question.

1. Everyday detergent buying is…

A. Complex
B. Dissonance-reducing
C. Variety-seeking
D. Habitual

Answer: D. Low involvement.

2. UNVR 2024 revenue fell 8.7%. The volume component…

A. +5.2%
B. −3.6%
C. −5.2%
D. 0%

Answer: C. Price −3.6%, volume −5.2%.

3. Aspiring-middle-class shoppers budget detergent per…

A. Kg
B. Wash
C. Month
D. Year

Answer: B. Hence sachets.

4. The largest groups in Rogers' curve are…

A. Innovators
B. Early & late majority (34% each)
C. Laggards
D. Early adopters

Answer: B. 34% each.

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5. The cultural factor making scent important is…

A. Scent signals a caring mother and social standing
B. Price
C. TV ads
D. Pack size

Answer: A. Washing is semi-public.

Sources

- -P3MD- Week 3–MK3.pdf
- Case 2 - Unilever Indonesia 2026 (SBM-ITB)
- Kotler & Armstrong bab 5